CSIS | KOREA DAILY BRIEF

Sunday, November 1, 2026 No. 221 11 min read

TODAY AT A GLANCE

1. The FBI formally attributed the $6.3B Binance cryptocurrency theft to North Korea's TraderTraitor hacking unit.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
5,730.74	1,335.10	$113.43	39%	Oct 30	3.00%
−3.5%	−0.2%	−1.3%	+2 pts Oct 13-15	2 days ago	Oct 2026

01 | TOP STORIES

NK News / Korea Times / Yonhap, DPRK

North Korea tests tactical ballistic missile cluster warhead, vows four types in service by year-end

North Korea's Missile Administration conducted an October 31 live-fire test of the 'Standard Type 2' cluster-bomb warhead designed for tactical ballistic missiles, claiming it can devastate 12 to 13 hectares, equivalent to 18 soccer fields, with a single detonation. KCNA published imagery showing the warhead dispersing submunitions over mock-ups of South Korean military facilities including arched-roof structures resembling aircraft hangars and ammunition depots.

The Missile Administration director stated all four categories of cluster warheads will be fielded by military units before end-2026; South Korea's Joint Chiefs confirmed a ballistic missile launch from North Pyongan Province toward the Yellow Sea on October 31, identifying the likely projectile as the KN-24.

Reuters / AP / Bloomberg, DPRK

FBI formally attributes $6.3B Binance cryptocurrency theft to North Korea's TraderTraitor unit

The Federal Bureau of Investigation formally attributed the record-breaking theft of approximately $6.3 billion from Binance to TraderTraitor, a North Korean state-linked hacking unit, according to blockchain intelligence firms TRM Labs and Chainalysis and confirmed by Reuters and AP.

President **Donald Trump** told reporters that if North Korea's involvement is confirmed, he would seek direct talks with Pyongyang, the first time he has linked the crypto heist to a diplomatic opening. The UK government separately warned that North Korean information technology workers posing as legitimate employees have targeted thousands of British banks and companies.

Bloomberg / Reuters / WSJ / Forbes Middle East, ROK Economy

South Korea October exports hit record $115.3B, chip boom puts $1 trillion annual target in reach

South Korea's October exports reached approximately $115.3 billion, nearly doubling year-on-year on surging AI-driven semiconductor demand, according to Korea Customs Service data reported by Reuters, Bloomberg, and WSJ.

The monthly figure is the highest on record, cutting the gap to the annual $1 trillion target to approximately $70 billion with two months remaining. Semiconductor shipments led the surge, with the WSJ reporting that chip-led exports are accelerating as global AI infrastructure investment drives HBM and advanced memory demand.

02 | OVERNIGHT

Daily NK, NK-Russia-China

North Korean trucks absent from New Yalu River Bridge two weeks after October 15 opening

Chinese cargo vehicles crossing; North Korean transport officials still preparing fleet.

Yonhap, DPRK

UK on high alert for North Korean IT workers targeting thousands of British firms

Banks and other enterprises across the UK identified as targets of state-sponsored IT infiltration.

tf.co.kr, US-Korea

PPP leader Oh Se-hoon says US-Korea alliance on thin ice, blames Lee government

Seoul Mayor and PPP figure calls alliance dynamics dangerously strained.

NK News, DPRK

Kim Jong Un maintains busy public schedule amid growing inter-Korean border tensions

Multiple appearances across military and industrial sites in October.

Federal Register (.gov), US-Korea

Commerce Department issues preliminary antidumping review results on Korean large power transformers

2024-2025 administrative review published in Federal Register November 2.

UN News, DPRK

UN rights official: North Korea more isolated than at any point in history despite internal development

Factories, smartphones, and new laws coexist with the deepest external cutoff on record.

The Washington Post, DPRK

WaPo: Trump engagement with Kim falls flat as North Korea's nuclear arsenal grows

Analysis finds no verifiable denuclearization progress since Trump's second term began.

03 | PYONGYANG WATCH

Kim Jong Un

No public appearance today, last seen 2 days ago

No KCNA watch flag. 6 provocations logged in the last 7 days.

> *"The aim to seize the absolute superiority in the drone technology is an indispensable option in the light of the ever-changing patterns of modern warfare. Strength precisely means peace and peace is guaranteed only by strength."*
>
> **Kim Jong Un**, Kim Jong Un inspects new stealth drone, calls for 'absolute' UAV superiority

TOP KCNA ARTICLES

Reuters (citing KCNA), DPRK state media

North Korea rejects sanctions as tool to deny its nuclear weapons state status

A North Korean Foreign Ministry statement carried by KCNA asserted that international sanctions have not worked to deny Pyongyang's status as a nuclear weapons state, reiterating the position ahead of any prospective US diplomatic approach.

SENIOR OFFICIALS

Kim Jeong-sik, Korean Workers' Party Central Military Commission member and Party Central Committee First Vice Director, General

Supervised the October 31 tactical ballistic missile cluster-bomb warhead live-fire test on behalf of the Missile Administration, per KCNA.

> **Bottom line:** State media's lead today was the Missile Administration's cluster warhead test confirmation, with the Foreign Ministry reiterating the nuclear-weapons-state position; Kim's drone exhibition quote from October 30 remains the current headline from state media, and the New Yalu River Bridge vehicle gap persists.

04 ROK GOVERNMENT

President and ministries, Sunday, November 1, 2026

MINISTRY OF FOREIGN AFFAIRS

FM Cho Hyun

G20 foreign ministers' meeting, Atlanta bilateral talks and Korean Peninsula briefing

Foreign Minister Cho Hyun attended the G20 foreign ministers' meeting in Atlanta (October 30-31), chaired by US Secretary of State Marco Rubio, and held bilateral sessions with counterparts from the EU, UK, India, and Mexico. Cho briefed G20 members on Seoul's position on the September 21 DMZ mine blast, the deepening North Korea-Russia military cooperation, and called for inter-Korean dialogue to reduce tensions.

Primary **Foreign Ministry**
Reported **Yonhap**

MINISTRY OF FOREIGN AFFAIRS

FM Cho Hyun

Korea-India foreign ministers' meeting, April summit follow-up

Cho met Indian External Affairs Minister Subrahmanyam Jaishankar on October 31 in Atlanta to review implementation of agreements from President Lee Jae-myung's April 2026 state visit to India, the first ROK presidential visit to India in eight years. The two sides agreed to continue high-level exchanges to deepen the bilateral strategic partnership.

Primary **Foreign Ministry**

MINISTRY OF ECONOMY AND FINANCE / DEPUTY PM OFFICE

Deputy PM Lee Hyeong-il

Economic affairs consultative meeting, housing supply and jobs projects discussed

Deputy Prime Minister Lee Hyeong-il chaired a Sunday economic affairs consultative meeting with ministers including the education, agriculture, employment, land, and budget ministers, discussing housing supply expansion and the national jobs project; outcomes require further inter-ministerial coordination before government policy is finalized.

Yonhap

MINISTRY OF TRADE, INDUSTRY AND ENERGY

Minister Kim Jeong-gwan

Ministry rejects media reports that Korea-US strategic investment terms are less favorable than Japan's

Minister Kim Jeong-gwan stated on record that reports claiming Korea's US strategic investment memorandum of understanding is more disadvantageous than Japan's are factually incorrect, noting the Korea-US MOU includes the same domestic-law supremacy clause as Japan's MOU and additionally stipulates a 'commercial rationality' principle absent from Japan's version. The clarification came amid National Assembly scrutiny of the $350B pledge.

newspim

MINISTRY OF UNIFICATION

Unification Ministry (no official named in source)

North Korean separated family second-generation member traces and meets South Korean relatives

A second-generation member of a North Korean separated family confirmed the survival of and met South Korean relatives through a Unification Ministry-facilitated process, per Yonhap. The rare case involves a North Korean-born descendent of a separated family establishing contact through official channels.

Source Yonhap

NATIONAL ASSEMBLY

Ruling party holds closed-door leadership meeting on budget and legislative agenda

National Assembly Democratic Party Leadership

The Democratic Party's leadership, including the floor leader and supreme council members, held a closed-door consultative session on November 1 to discuss the 2027 budget framework, public housing supply, mandatory retirement pension expansion, virtual asset taxation, and mandatory public tender legislation ahead of the budget session.

05 | US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge lapsed July 24, leaving no baseline reciprocal tariff. Section 301 is now the primary prospective tariff vehicle; the $350B investment pledge has no official drawdown figure.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

$150B shipbuilding (MASGA), $200B strategic sectors, $100B energy purchases; no official drawdown figure reported to date.

06 CAPITOL HILL

The Hill, Statement

North Korea linked to $6.3B Binance hack by blockchain intelligence firms; FBI attribution follows

TRM Labs and Chainalysis linked the largest crypto theft on record to TraderTraitor, a North Korean state hacking unit, with the FBI formally concurring; President Trump said he would seek talks with Pyongyang if the attribution is confirmed.

07 NORTHEAST ASIA WATCH

Yonhap

FM Cho meets EU, UK, India, Mexico counterparts on G20 sidelines in Atlanta

Cho Hyun held bilateral sessions with EU High Representative **Kaja Kallas**, UK Foreign Secretary **Ed Miliband**, Indian External Affairs Minister **Subrahmanyam Jaishankar**, and Mexican FM **Roberto Velasco** in Atlanta on October 31, advancing the June 2026 Korea-EU summit agenda and coordinating on Korean Peninsula, Ukraine, and supply chain issues. Seoul and London agreed to cooperate on AI and defense; both countries will chair the Group of 20 in 2027 and 2028 respectively.

The New York Times, Japan-Korea

Korean language study surges in Japan

The New York Times reports Korean language study has picked up sharply in Japan, with enrollment in Korean courses rising across schools and private institutions. The trend reflects expanding cultural and economic ties between the two countries.

08 KOREA AND THE WORLD

Chosunbiz, Multilateral, Diplomacy

Lee advances South Korea ties with Turkey and East Timor in back-to-back summits this week

President Lee Jae-myung will host Turkish President Erdogan on November 4 and East Timorese President Ramos-Horta on November 7 in separate summits covering defense, energy, and economic partnership; the Turkey summit is Erdogan's first Seoul visit since 2018 and comes ahead of the bilateral 70th diplomatic anniversary in 2027.

Seoul Economic Daily, Europe, Nuclear & energy

Korea to rebid Czech Dukovany nuclear power plant construction contract

South Korea will rebid the construction contract for the Czech Dukovany nuclear power plant after talks collapsed; the Trade and Industry minister stated the government's commitment to completing the project is unchanged and the rebid is necessary to honor the agreement.

09 BUSINESS & ECONOMY

WSJ

South Korea's economy grows faster than expected in Q3 2026

The faster-than-expected result adds pressure on the Bank of Korea, where November rate hike arguments have been gaining ground despite the US Federal Reserve's hold.

SBS

Samsung Electronics chairman Lee Jae-yong visits Yokohama advanced packaging research center

Lee Jae-yong, chairman of Samsung Electronics, visited the company's advanced semiconductor packaging research facility in Yokohama, Japan, on November 1 to review packaging technology research and explore materials and parts cooperation with Japanese partners. The visit follows Samsung's $200B HBM and foundry memorandum of understanding with Broadcom signed in July 2026.

Samsung Electronics

Korea Economic Daily

Horizon Energy to more than double plastic-to-oil capacity in South Korea

Horizon Energy plans to expand its plastic-to-oil (pyrolysis) capacity in South Korea to more than double current levels, according to the Korea Economic Daily, positioning it within the ROK government's circular economy and energy transition policy framework.

Horizon Energy

10 | UPCOMING

NOV 2

President Lee delivers 2027 budget address to National Assembly

President Lee Jae-myung is scheduled to deliver a budget policy address to the National Assembly on November 2, presenting the government's 820-821 trillion won proposed 2027 budget, with ruling and opposition parties expected to clash over the scale.

NOV 2

Book Event: Lifeline by John Donnelly

CSIS event.

NOV 3

Turkish President Erdogan begins three-day state visit to Seoul

Turkish President Recep Tayyip Erdogan arrives in South Korea on November 3 for a state visit through November 5, with a summit with President Lee Jae-myung on November 4 covering defense industry, nuclear power plants, trade, and investment.

NOV 6

East Timorese President Ramos-Horta begins official visit to South Korea

East Timorese President Jose Ramos-Horta arrives in South Korea on November 6 for an official visit through November 8, with a summit with President Lee Jae-myung on November 7 followed by MOU signings; it is the first visit by an East Timorese leader since diplomatic relations were established in 2002.

11 | ANALYSIS

OFFICIALS ON X

President Lee Jae-myung (@Jaemyung_Lee), November 1

“I sincerely welcome the state visit of President Recep Tayyip Erdogan of the Republic of Turkey. The Republic of Korea and Turkey are countries that have maintained a special friendship for a long time, rooted in the brotherhood forged during the Korean War.”

President Lee's welcome message preceded Erdogan's arrival in Seoul on Monday for a state visit through Wednesday; the summit on Tuesday is expected to cover defense industry, nuclear power, and investment cooperation ahead of the 2027 bilateral diplomatic anniversary. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

STATEMENTS

Lee Jae-myung

"If it is called a bean in Honam, it must also be called a bean in Yeongnam. This common-sense language reminds us that facts and fair principles must always take precedence over factional logic or ideological bias."

The statement came as the president pushes ahead with a review of multicultural household support programs and ahead of his November 2 budget address to the National Assembly. **Source**

Donald Trump

"We don't know if North Korea is responsible. If it is confirmed to be North Korea, we will talk to them about it."

Trump's comment linking the Binance hack attribution to a potential diplomatic channel is the first time he has publicly connected a North Korean cyber operation to a diplomatic opening in his second term. **Source**

12 | PUBLIC SENTIMENT

Lee approval

39%

+2 pts vs Oct 6-8
Gallup Korea
October 13-15, 2026

Trend: Down from 42% on Aug 25-27, across 6 readings.

Ruling	Opposition	Independents
Democratic	People Power	
36%	27%	29%

Gallup Korea publishes weekly; this reading is 2 weeks old (October 13-15, 2026).

Gallup Korea spotlight (Oct 30, 2026): Oh Se-hoon acquittal verdict public assessment: 34% of respondents said the acquittal verdict for Oh Se-hoon was the right decision, while 37% said it was the wrong decision, per Gallup Korea polling reported October 30, 2026.

13 | THE WIRE

DPRK

38 North

38 North: North Korea displays ICBM, relabeled SLBMs, and 'Tactical Nuclear Attack' submarine

38 North analysis published October 30 documents public display of a vessel designated a 'Tactical Nuclear Attack' submarine alongside North Korea's latest intercontinental ballistic missile; the SLBMs shown are previously seen systems presented as new.

ROK POLITICS

Yonhap

Turkish President Erdogan arrives Monday for state visit; East Timor's Ramos-Horta follows Thursday

Turkish President **Recep Tayyip Erdogan** arrives in South Korea on Monday for a state visit through Wednesday, with a summit with President Lee Jae-myung on Tuesday to cover defense industry, nuclear power, and investment; it is Erdogan's first Seoul visit since 2018.

US-KOREA

Yonhap

FM Cho explains DMZ mine blast, calls for inter-Korean dialogue at G20 Atlanta

Foreign Minister **Cho Hyun** used the G20 foreign ministers' meeting in Atlanta (October 30-31) to brief counterparts on Seoul's position on the September 21 DMZ landmine blast and to call deepening North Korea-Russia military cooperation a serious threat to regional security.

Newsis

National Assembly defense committee chair Jin Seong-jun departs for US after last-minute visa issuance

National Assembly Defense Committee chair **Jin Seong-jun** departed for the United States on November 1 after the US government issued his official visa only one day before departure, following an earlier refusal that he characterized as inconsistent with alliance norms.

TRILATERAL

Korea JoongAng Daily

South Korea, US, Japan reaffirm North Korea denuclearization goal and economic ties at G20

The three foreign ministers held a trilateral meeting on the sidelines of the G20 Atlanta meeting, reaffirming the goal of North Korea's denuclearization and discussing deepened economic cooperation, per Korea JoongAng Daily and State Department readouts.

14 | SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

No new reporting on any of the 11 monitored sites since the last issue.

That's today's brief. No. 221

TOMORROW

President Lee delivers 2027 budget address to National Assembly

Book Event: Lifeline by John Donnelly

Feedback and tips are welcome. Write to **alim@csis.org**.

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